



DEALER BEST PRACTICE SERIES

Developing a MARC
Management Plan

Application Maintenance Site Management Component Rebuild Safety **MARC Management**

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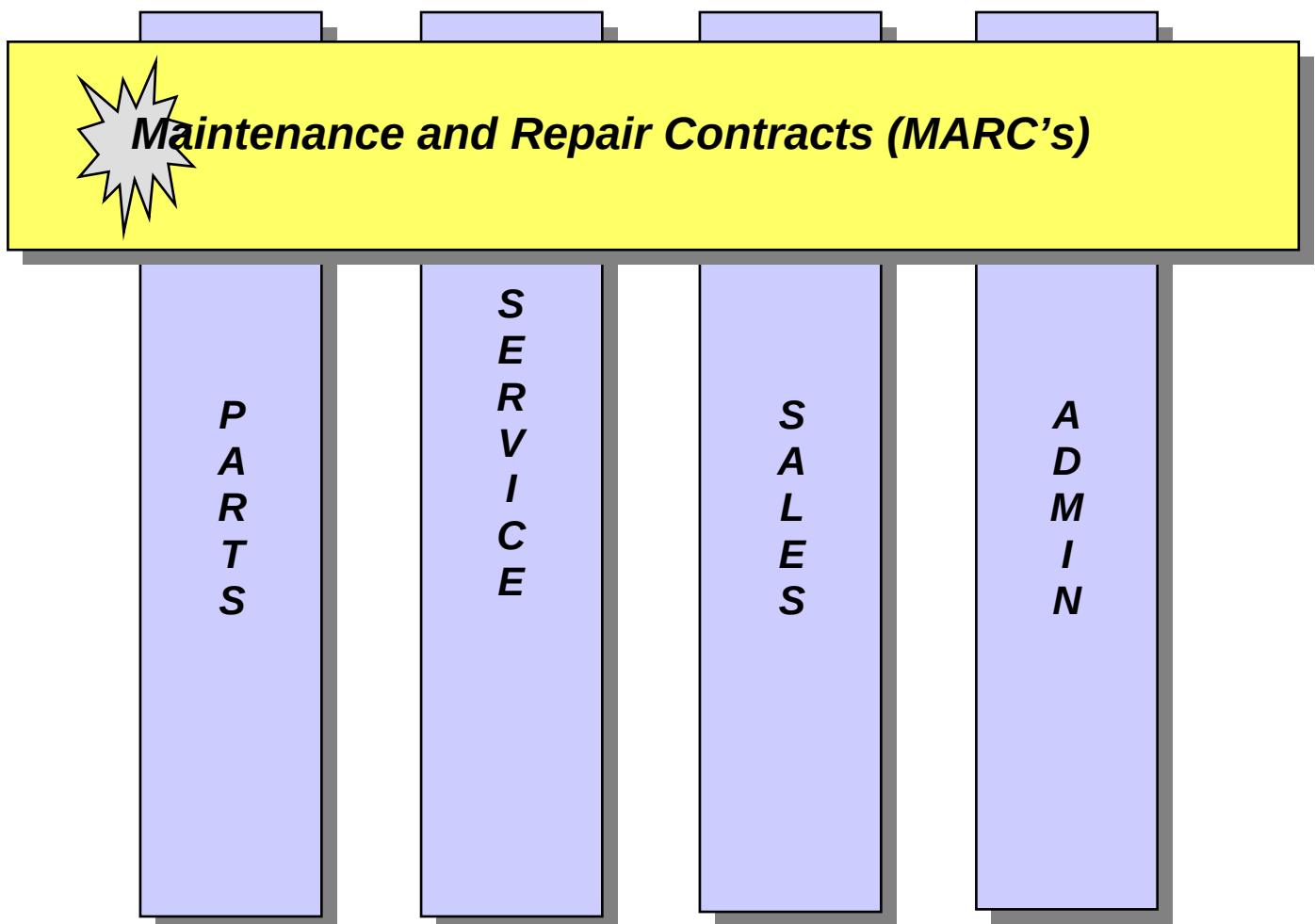
1.0 Introduction

The MARC Management Plan Best Practice provides a template that guides a dealer through, planning, documenting and communicating the roles, responsibilities and expectations to execute the dealer obligation to the customer.

2.0 Best Practice Description

The Dealer MARC Management Plan requires participation from every department of the business. Each department will be affected when building a realistic MARC rate the dealership can quote to a customer, execute, and deliver the financial goals and targets.

MARC's transcend all departments at the dealer.



***A successful MARC Strategy
is Cross Functional***

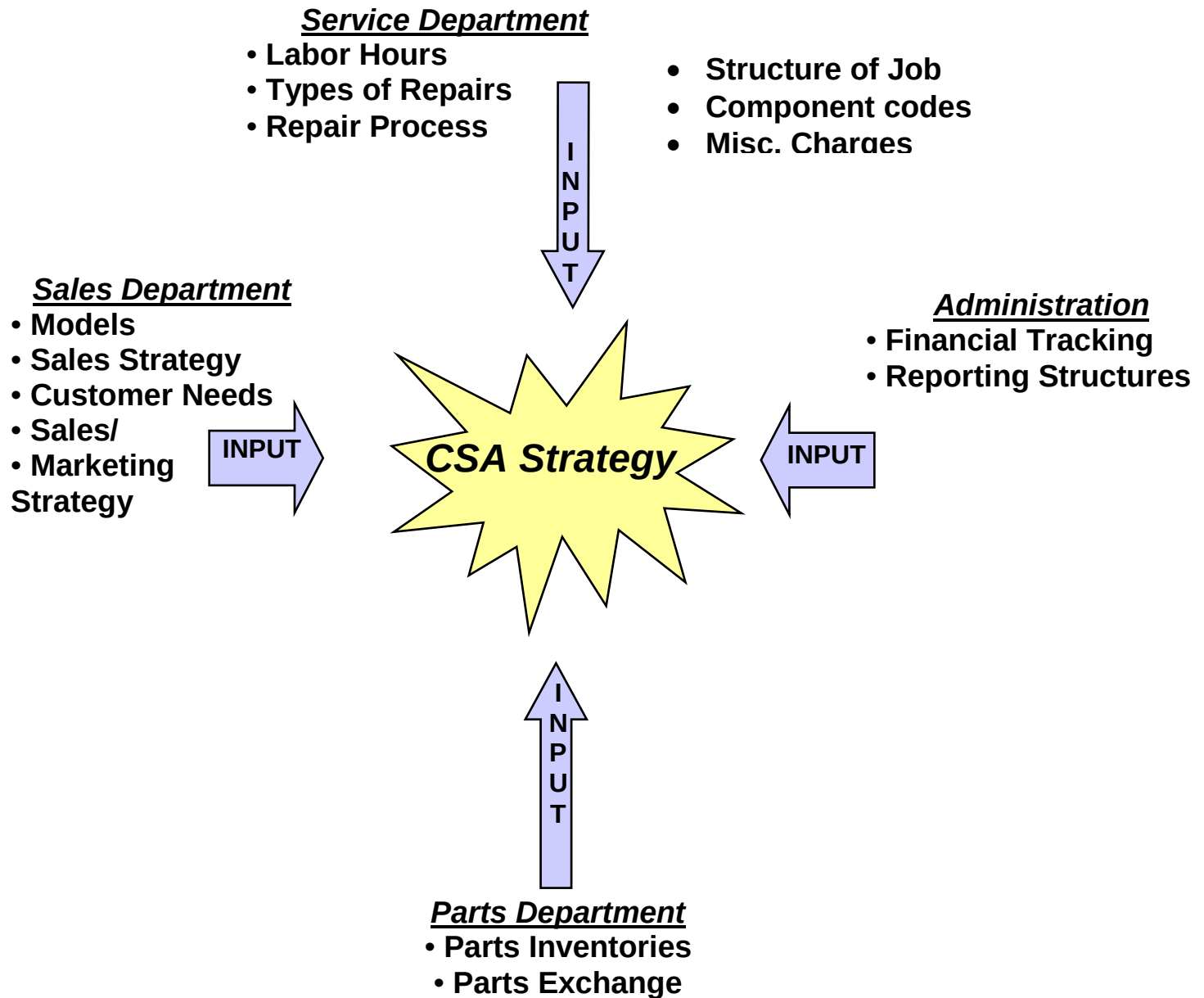
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Developing a MARC Management Plan

DATE
27 Sept 06

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MARC Organization Approach

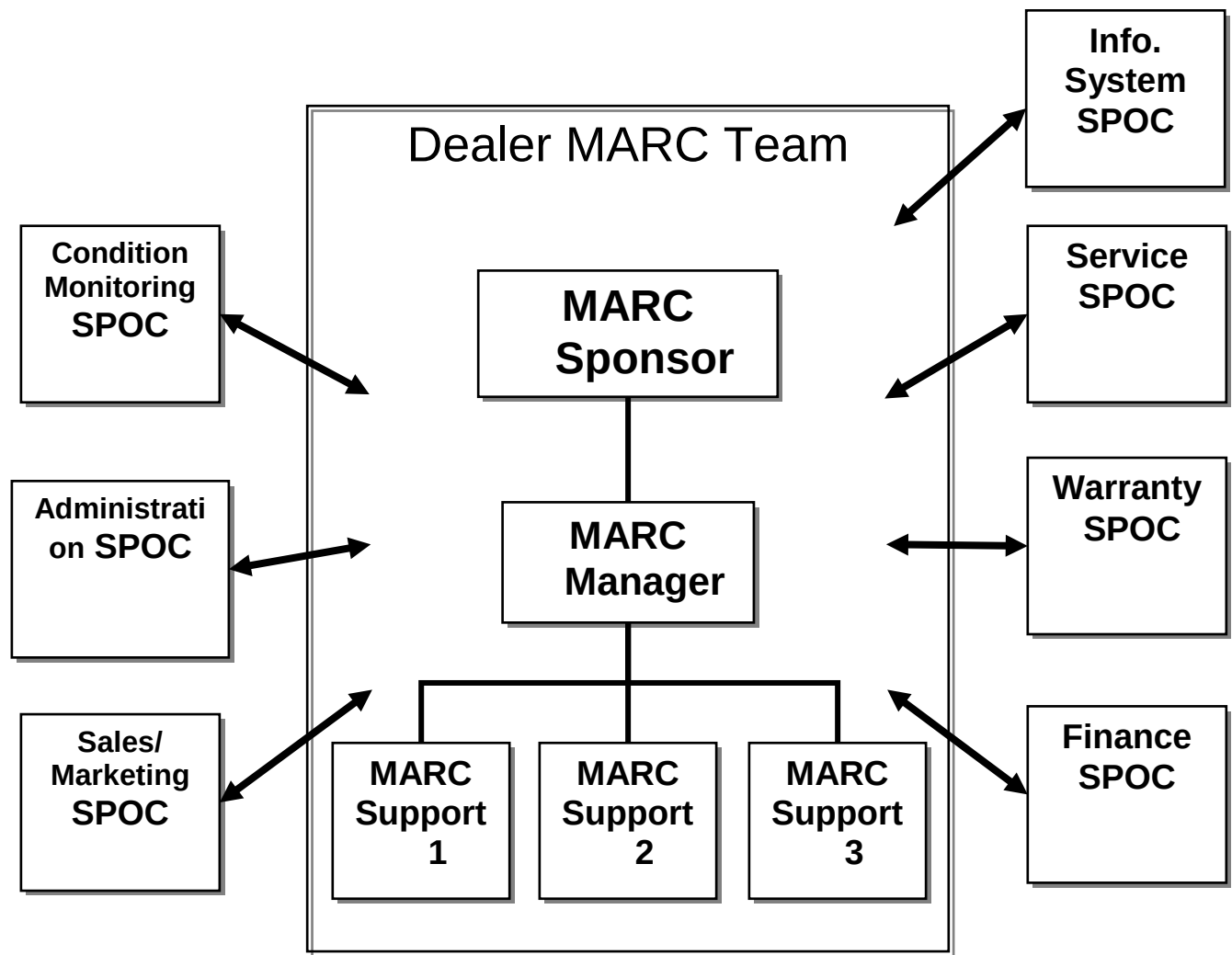
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SPOC = Single Point of Contact

3.0 Implementation Steps

MARC's involve inherent risks, and the sophistication of any business agreement will dictate the impact on each department, and therefore each department's involvement. Based on the Dealer MARC infrastructure, this Best Practice should be performed for major contracts with considerable risk elements.

3.1 Critical Assumptions

At this point in the MARC planning process, the following 2 elements should be available:

1. Validated, finalized signed MARC
2. Validated life cycle costs

Tasks that need to be defined and accountability assigned:

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1. Identify required parts
2. Implement the MARC in the Dealer Business System (DBS and non DBS)
3. Develop financial structure
4. Identify key contacts responsible for completing the tasks
5. Establish the date the task should be initiated
6. Estimate date the task should be completed
7. The actual date the task should be completed (?)

3.2 A documented Dealer Management plan should contain the following sections:

1. Organization / Communication Structure
2. Financial Structure
3. Parts Planning
4. Set Up Dealer Service System

See the sample Dealer Management Plan template below.

Dealer Management Plan				
Dealer:	<i>Anticipated</i>	<i>Anticipated</i>		
Customer:	<i>Contract Start</i>	<i>Contract End</i>		
Customer Site:				
Tasks	Responsible	Start	Est. End	Actual End
I. Organization/Communication Structure				
a. Identify Departmental Contacts				
b. Assign Tasks to Departmental Contacts				
II. Develop Financial Structure				
a. Define CSA Reporting Requirements				
b. Define Customer Class				
c. Obtain Entry Code				
d. Obtain Customer Number				
e. Define Store				
III. Parts				
a. Parts Exchange Items				
b. Parts Exchange Fees				
c. New Store Number (PM Truck/On-Site)				

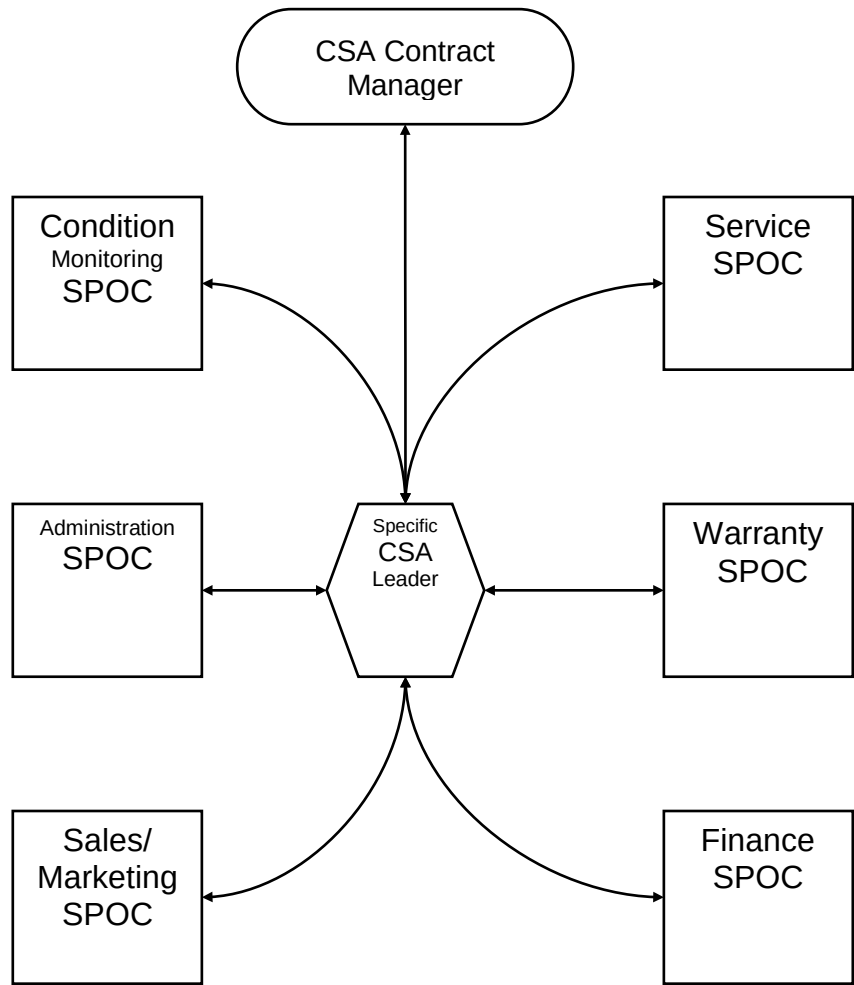
3.2.1 Organization / Communication Structure

- The communication plan creates a strategy that eliminates departmental boundaries and facilitates any required culture change.
- Clear, timely and consistent messages will contribute to an informed workforce that is aware of the goals and how the team will work toward them.

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3.2.2 Communication Plan

Single point of contact communication structure:



*SPOC = Single Point of Contact

3.2.3 Financial Structure

The dealership must determine what items need to be tracked and reported to verify contract performance. Although this information will be used in the analyze phase, it is essential to setup the systems to ensure accurate reporting. A dealership may approach this in several ways depending on how it wants to measure a MARC. The recommended reporting for contract health contains five financial, and two mechanical metrics.

Financial Metrics

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Revenue Expense Variance
 Payload Compliance
 Budget Cost Variance

Contractual Availability
 Component Management

Mechanical Metrics

Mean Time Before Failure (MTBF)

Mean Time to Repair (MTTR)

The level of detail these should be measured;

<u>Contract</u>	<u>Dealership</u>
1. Repair option level - Parts, labor, Miscellaneous	1. Customer Number
2. Work Order Level - Cost & Sell	2. Equipment Fleet
3. Serial number	3. Equipment
4. Business Group Level	4. Components - PM, R&I, Scheduled, Unscheduled
5. Contract Level	Major Component Exchange

Customer Class The dealership must define a customer class. The customer can be classified as a Revenue, Interdepartmental, Expense, or Other. The codes are used to identify the classification of the work on work orders and how the dealership will charge parts, labor and miscellaneous expenses. The customer class will affect pricing, taxing and accounting routines based on the dealership financial principals.

Entry Code The dealership Financial Controller must supply an entry code. The entry code is used specifically for accounting purposes and can be located in the sell rate file, the tax file or in the parts, labor or miscellaneous detail maintenance functions in DBS.

Customer Number The dealership must create a customer number. This number can be assigned in the customer information in DBS and acts as a unique reference number to a specific customer

Store number The dealership must define a store number. The store number will identify where work will be performed. Each dealer will use different methods of tracking parts, labor and miscellaneous costs. Creating a store number will make tracking detailed cost information less complicated and more effective. The store number utilized in the sell rate files for differentiating pricing, accounting, and tax procedures is based on the detailed items in a work order. The decision to create a store number for a MARC is based on the dealership's requirements to account for a MARC based on areas of business while continuing to manage within the traditional parts and service operations.

3.2.4 Parts

The dealer must create and distribute a list of parts exchange components and the group arrangement numbers to be stocked to support the contract. Included in this list should be the PEX fees that apply to the MARC as well as the new components that have not been stocked to support previous contracts.

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3.2.5 Setup Service in DBS

Set Up Service Parameters in DBS & Contract Tracker

- Preventive Maintenance
- Prototype Work order
- Contract Tracking and planning

The plan can be set up using the Dealer Management Plan template (continuing below). Details required will be dictated by the type of contract (full MARC, Parts only, or partial MARC) and the roles and responsibilities desired by the dealer.

Dealer Management Plan				
Dealer:	<i>Anticipated</i>	<i>Anticipated</i>		
Customer:	<i>Contract Start</i>	<i>Contract End</i>		
Customer Site:				
Tasks	Responsible	Start	Est. End	Actual End
IV. Service				
a. DBS Setup				
1. SMCS Codes-Verify and Add (Not all are printed)				
2. Store- Verify and Add (Screens are Printed)				
3. Miscellaneous Codes/Source of Service (SOS) Codes-Verify and Add (Screens are Printed)				
4. Business Group-Verify and Add (Screens are Printed)				
5. Marketing Codes-Verify and Add (Not Required but Screens are Printed)				
6. Service Program Codes-Verify and Add (Not Required but Screens are Printed)				
7. Base Serial Number-Verify and Add (Screens are Printed)				
8. Labor Rates-Verify and Add (Screens are Printed)				
b. Transfer Repair Options				
1. Business Group				
2. Standard Job and Component Codes				
3. Make				
4. Serial Number				
5. Model				
6. Market Store				
7. Standard Hours				
8. Target Hours (10% less than Standard Hours)				
9. Labor Charge Codes				
10. Price Hours				
11. Parts Dollars				
12. Labor Dollars				
13. Primary SMU				
14. Market Store				
15. Miscellaneous Dollars				
16. Secondary SMU				

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Customer:	<i>Contract Start</i>	<i>Contract End</i>		
Customer Site:				
Tasks	Responsible	Start	Est. End	Actual End
V. Preventative Maintenance (For PM and M&R Contracts)				
a. Enroll Equipment in PM Module				
1. Base Plan From CSA Scheduler				
2. Standard Jobs Associated with Intervals				
3. Machine Data				
4. Parts				
5. Labor				
6. Miscellaneous				
7. Interval				
VI. Prototype Workorder (For M&R and Component Contracts)				
a. Work Order Header Key				
1. Enter MNTWOHDR through DBS Service Workorder Screen				
2. Type				
3. Store				
4. WO Number				
5. Generic Proto Customer Number				
b. Work Order Header Data-Prototype Add				
c. Work Order Pricing Data-Prototype Add				
1. Business Group				
2. Segment Number				
d. Work Order Segment Data-Prototype Add				
1. Cost Center from CSA Builder				
2. Job Code from CSA Builder				
3. Component Code from CSA Builder				
4. Next Segment Number if Required				
e. Create Workorder from Prototype				
1. Enter CRTWO through DBS Service Workorder Screen				
2. WO Number				
3. Customer Number				
4. Make				
5. Store Number				
6. Serial Number				
7. Estimated By				

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Dealer Management Plan				
Dealer:	<i>Anticipated</i>	<i>Anticipated</i>		
Customer:	<i>Contract Start</i>	<i>Contract End</i>		
Customer Site:				
Tasks	Responsible	Start	Est. End	Actual End
VII. Contract Tracking				
a. Owner, Customer Number, Deferred Revenue Account Number, Billing Code Number				
b. Entry Distribution Code				
c. Machine Data				
d. Invoice Information				
e. Budget Information & CSA Scheduler Report				
f. Additional Notes				

4.0 Benefits

The benefits to establishing a MARC management include:

- Predictable revenue stream to dealer
- Enterprise approach to the Mining MARC opportunity.
- Employee satisfaction will result from participating in the rate development process and clearly communicated goals and expectations.
- Customer satisfaction resulting from proper dealer execution and communication. Ensuring MARC team members understand their roles and expectations, management is a simply a function of extending authority and allowing staff members to be responsible for their own areas.

5.0 Resources Required

- A dedicated person in each department to support the project sponsor and MARC manager.
- Top down MARC management direction. Top down directives ensure the staff is empowered to make business decisions has the authority and management support required to be successful.

6.0 Supporting Attachments / References

None

7.0 Related Best Practices

0906-3.3-1009 - MARC Rate Development

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8.0 Acknowledgements

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